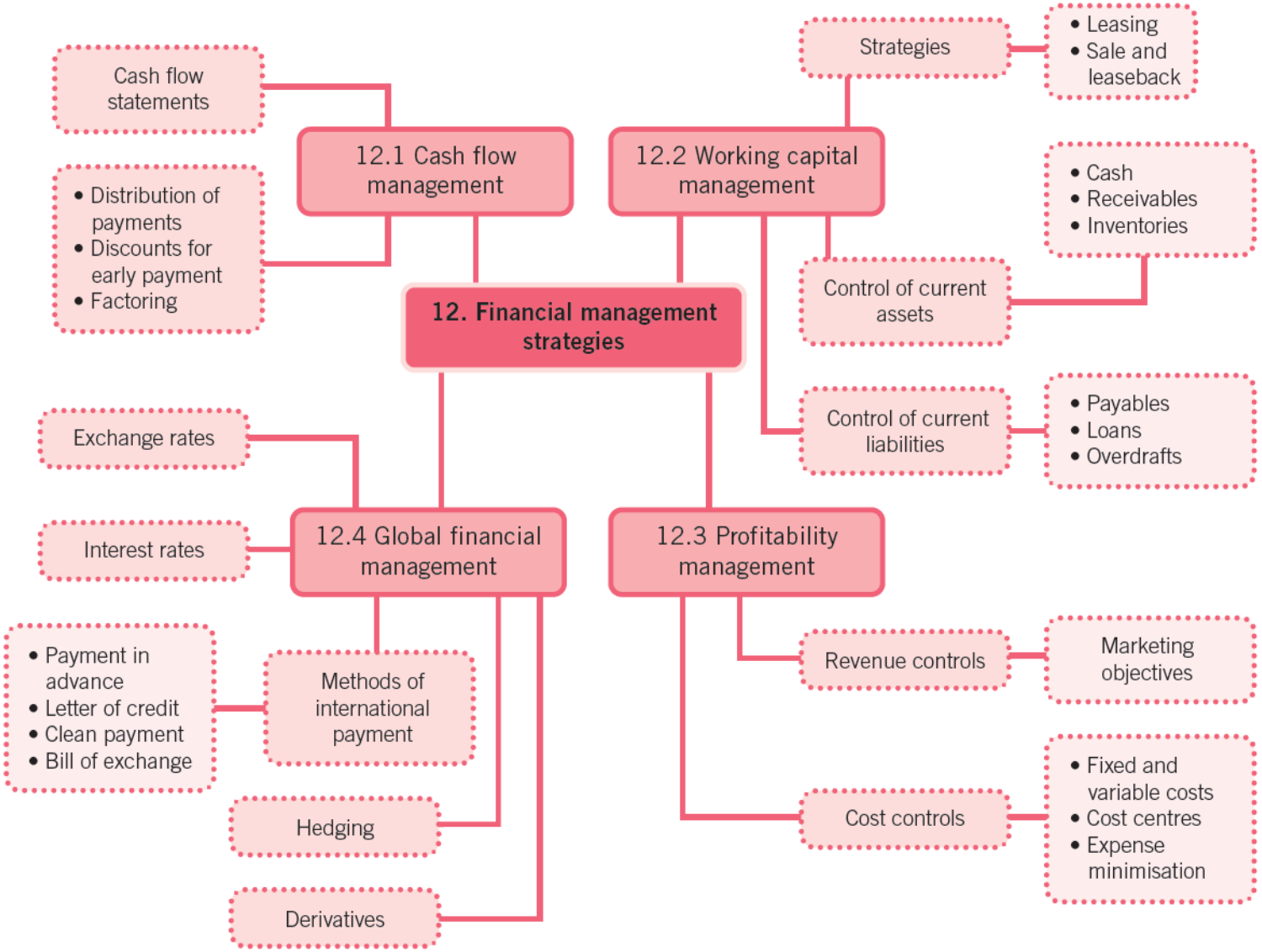
Topic 3: Finance

Chapter 12
Financial management strategies

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Cash flow management

- Cash flow statements – budgets
- Distribution of payments – stretching, prepayments, leasing
- Discounts for early payments
- Factoring

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Cash flow statements

- Referred to as continuous, or rolling, cash budgets.
- Used to show the pattern of short-term management of cash inflow and outflow.
- Usually cover a period of 12 months.
- Used to predict when cash will be needed.
- Predict a cash shortage, allowing businesses to shop around earlier for the cheapest interest rate for short-term loans and overdrafts.

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Distribution of payments

A business can ensure that not all large predictable payments occur at the same time:

- Spreading payments over the whole year (e.g. monthly instalments) ensures a more equal cash outflow each month rather than one huge outflow during one month.
- Accounts payable can be stretched by paying on the last possible due date.
- Prepayments when more cash is available can result in a better deal.
- Leasing, instead of purchasing assets, provides a predictable monthly expense.

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Discounts for early payments

Businesses can:

- offer discounts for early payments to speed up cash inflow
- offer discounts on future orders for prompt payment of accounts
- notify clients of changes to the credit policy and introduce a late payment fee, thereby encouraging prompt payment.

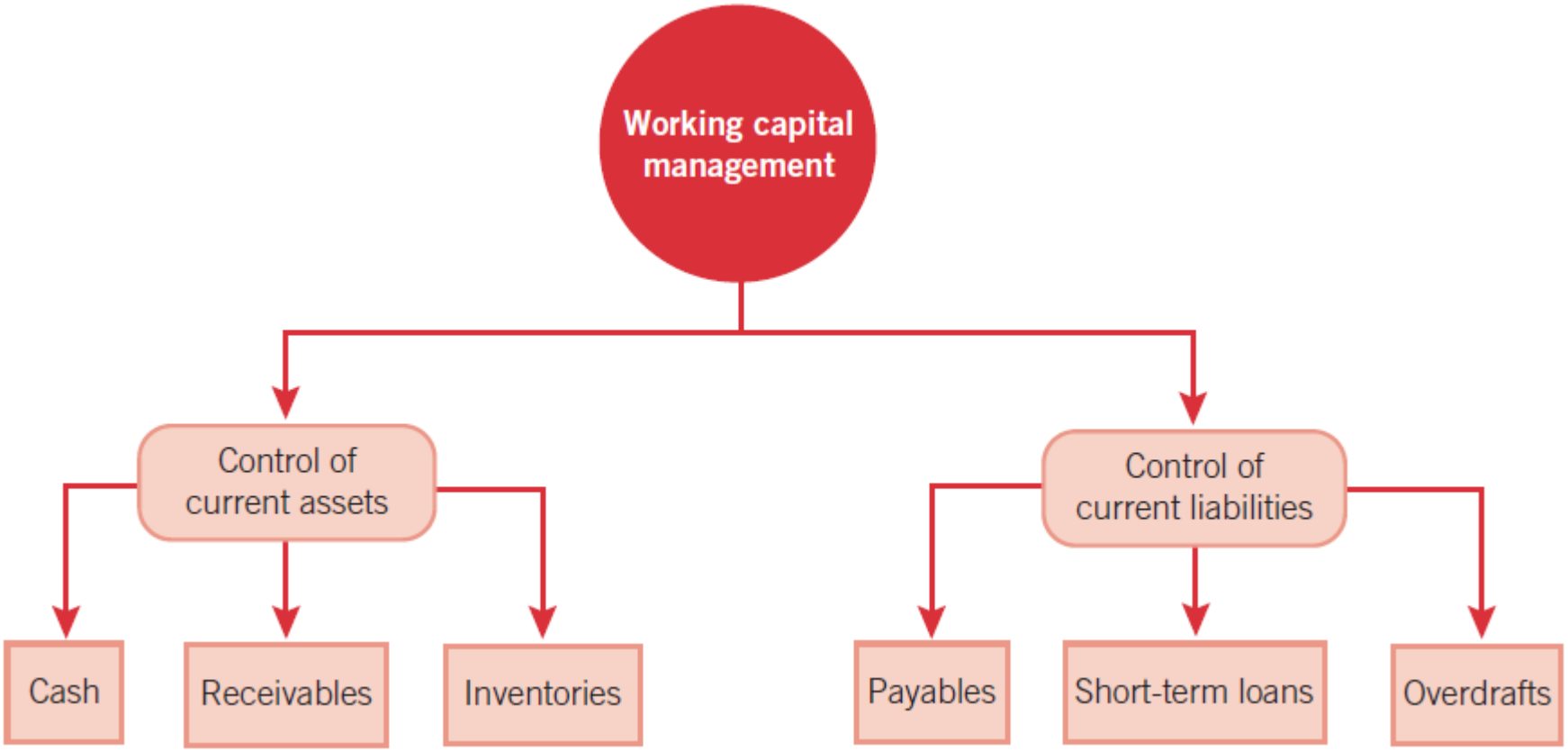
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Factoring

Selling accounts receivable to a factoring business to create an immediate cash inflow

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Working capital management



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Working capital management

- Working capital is the current assets used to fund the day-to-day running of the business
- Net working capital = current assets – current liabilities
- Working capital ratio = current assets ÷ current liabilities

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Control of current assets

Needs to be enough cash to pay expenses as they fall due.

Strategies:

- Increase cash in bank account.
- Improve reliability and frequency of cash inflow.
- Encourage customers/clients to pay as quickly as possible.



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Methods of internal inventory control

Methods for internal control over inventory include:

- physical inspections and counts or stocktakes
- security, such as cameras and security tags to prevent theft
- suitable transportation and storage to prevent accidental damage or spoilage; for example, ensuring food is stored at the correct temperature

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Methods of internal inventory control (cont.)

- limiting staff access
- only purchasing enough inventory to satisfy anticipated sales with a sufficient buffer to cover unexpected increases in demand and avoid running out
- keeping accurate records of purchases, inventory received and inventory sold.

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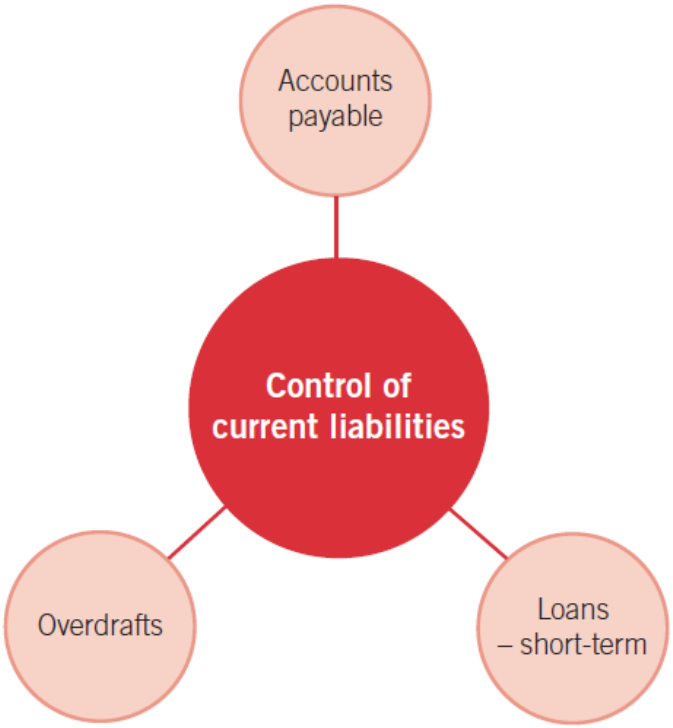
Control of current liabilities

Control of current liabilities:

- accounts payable (credit policy)
- short-term loans (less than 12 months)
- overdrafts.

Strategies:

- leasing
- sale and lease back.



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- The fundamental difference lies in **timing versus balance**: **Cash Flow Management** is the strategic timing of the *movement* of money into and out of the business to ensure there is enough cash on hand to meet immediate daily obligations, whereas
- **Working Capital Management** is the management of the *relationship* between all current assets and current liabilities to maintain a healthy level of liquidity (the Current Ratio). While a cash flow strategy like **factoring** is used to solve a "timing mismatch" (speeding up the arrival of cash to pay a looming bill),
- a working capital strategy like **inventory control** or **sale and leaseback** is used to ensure the business isn't "asset rich but cash poor" by preventing too much capital from being locked up in unproductive forms. In short: Cash Flow is about **when** the money moves, while Working Capital is about **what form** your short-term wealth is currently in.

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Profitability management

Management must ensure that the business's accounting and financial system has effective controls in place so that it:

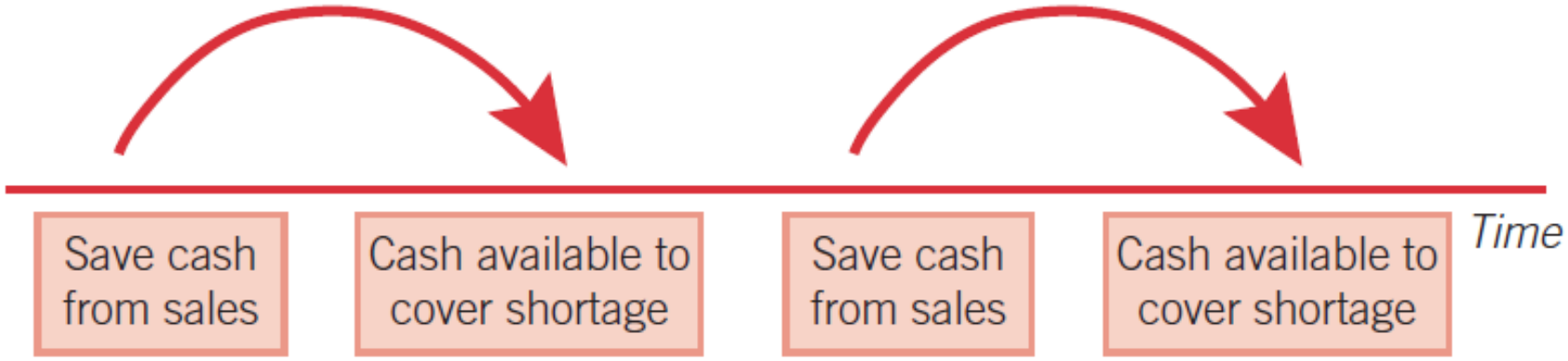
- does not overspend and, instead, minimizes costs
- maintains financial records and records transactions correctly
- maximises revenue.

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Profitability management

Cost controls:

- fixed costs
- variable costs
- cost centres
- expense minimisation.



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Cost-cutting methods

Strategies to cut variable costs include:

- negotiating discounts with all suppliers; for example, bulk ordering stationery supplies
- reducing the number of suppliers and negotiating contracts for discounts – called supplier rationalisation
- switching to a cheaper supplier, reducing the number of sales staff and multiskilling remaining staff

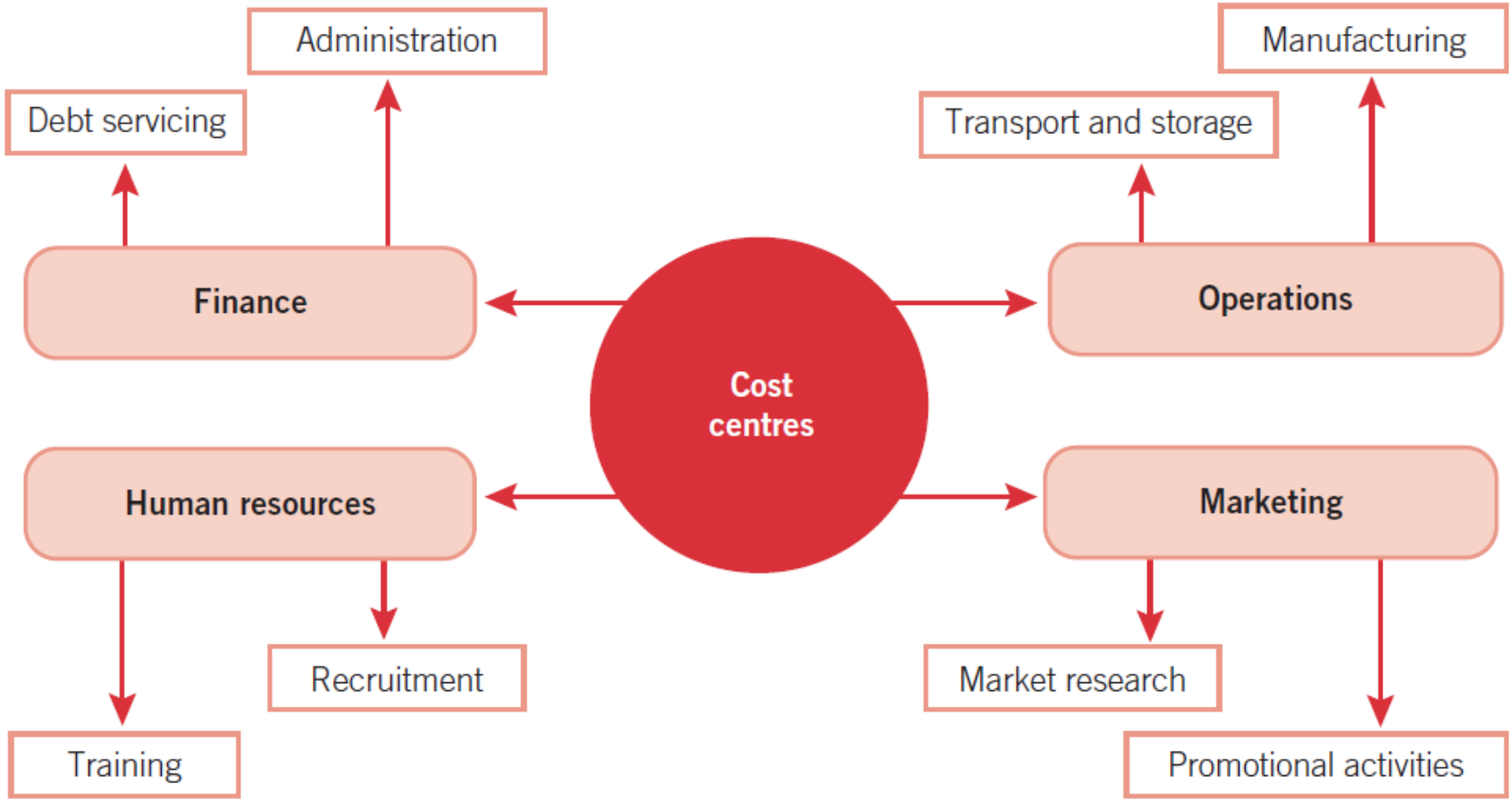
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Cost-cutting methods (cont.)

- increasing self-servicing by customers (for example, use of automatic teller machines) and reducing the number of staff employed
- sharing resources with other businesses, such as sharing delivery costs
- replacing full-time permanent staff with casual staff because no on-costs (such as holidays and sick leave) need to be paid to casual staff
- using just-in-time inventory management.

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Cost centres



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Revenue controls

Revenue controls can be used to achieve marketing objectives:

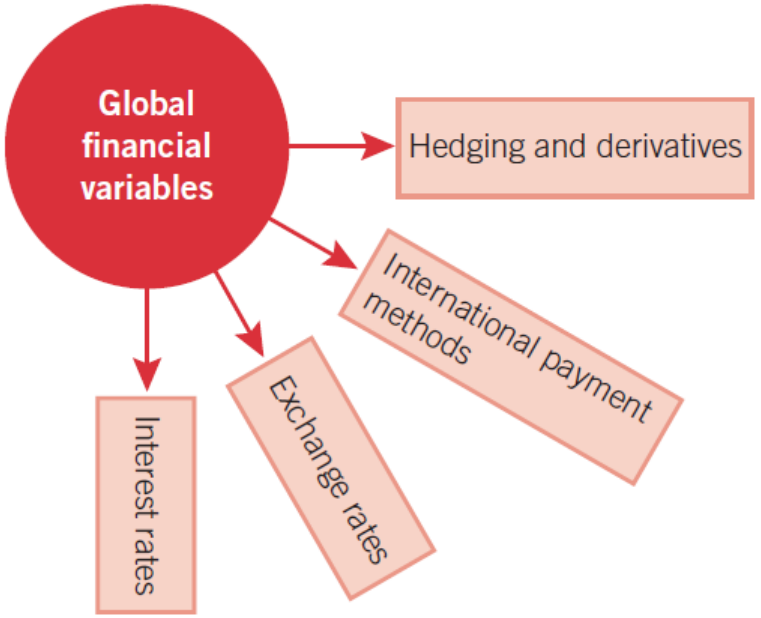
- sales mix
- sales forecast and sales budgets
- pricing policy, such as cost-based pricing methods whereby the price is based on what the good costs to supply.



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Global financial management

- Exchange rates
- Interest rates
- International payment methods
- Hedging and derivatives



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Methods of international payments

An importer will want to minimise costs, make payment as late as possible and have the goods before paying for them.

On the other hand, exporters will want the highest price for their goods, to be paid quickly and to keep control of the goods until they are paid for.

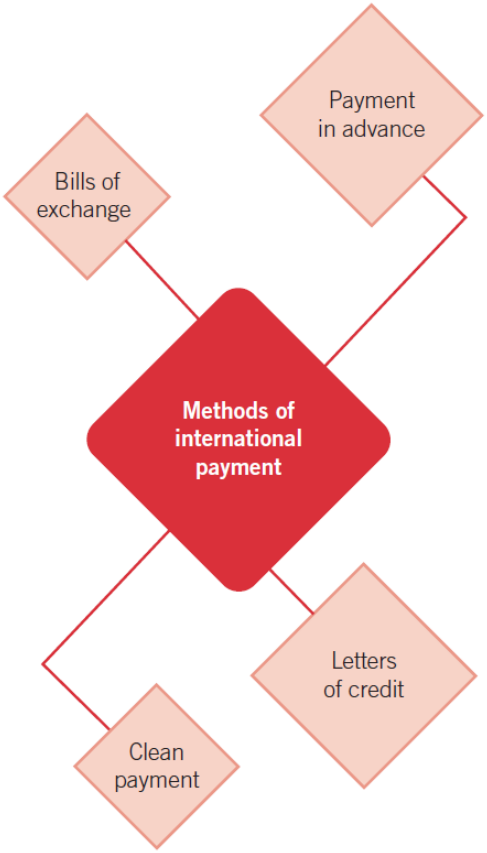


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Methods of international payments (cont.)

There are many methods of payment used by global financial managers for the export and import of goods and services. The main methods include:

- payment in advance
- letters of credit
- clean payment
- bills of exchange.



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